

identified a price at which they are willing to part with their shares. When the price reaches that level, they sell, forcing the stock down. When price falls, they quit dumping the stock.

On the other side is another group of investors who want to grab the stock. They place buy orders at what they perceive to be a good value. When price falls to their target, the buy orders overwhelm supply and price rises. If this up–down struggle goes on long enough, price bounces between one extreme and the other.

Over time, you can draw a horizontal trendline along the peaks and another along the valleys as a rectangle pattern takes shape. Eventually, one of the sides runs out of ammunition. If the people selling their shares run out first, buying demand overwhelms supply and price pierces the top trendline.

If the buyers spend all of their money and back away from the table, price drops through the bottom of the rectangle. In either case, the shares continue in the breakout direction because of growing demand (the price moves upward) or increasing supply (the price tumbles).

Identification Guidelines

[Table 52.1](#) shows identification guidelines for rectangle tops.

Appearance. Price rises and bumps up against overhead resistance, stopping the climb. At the bottom of the pattern, the stock bounces off a floor of support. Between the two layers, price oscillates up and down, but moves horizontally, eventually pushing through the wall of support or resistance and breaking out.

Price trend. Over the short term, price should trend upward to the rectangle. This upward trend is what distinguishes the pattern from rectangle bottoms. The distinction is arbitrary; I wanted to see if there is any difference in the way the two chart patterns perform.

Horizontal trendlines. As the rectangle forms, price rises to a resistance level and falls back to a support area for another try. If this pattern continues, the minor highs can be joined with a trendline drawn along the top of the rectangle and another trendline can be drawn below the minor lows. The two trendlines should be horizontal or nearly so. If there is a